

investor sentiment. Examples tend to be cherry-picked to agree with what we already believe. Confirmation bias fools us into seeing a signal where there usually is none.

Identifying broad societal changes in sentiment is never easy. It is becoming even harder as national and print media fade. Partisanship and content balkanization means Americans no longer live in one nation—we live in millions of self-created bias bubbles.

Historically, sentiment readings were useful when they reached extremes. Now, reading sentiment has become even harder to figure out.



We too easily overlook the emotions, opinions, and biases in media. Even after readers identify these errors, they often ignore it. Let's look at this issue more closely.

[99](#) Jack Hough, “Apple to Hit \$1 Trillion in Market Value in 2018,” *Barron's* (December 23, 2017).

[100](#) Originally called the *Time* Magazine Cover Indicator, it somehow found its way to include any national non-business magazines and newspapers. Long before behavioral economics became popular, Montgomery argued that standard economic theories “overlooked the human factor in markets.” Although best known as the Magazine Cover Indicator originator, he was also the creator of the famous Hemline Indicator of the Stock Market, which tracked dress or skirt length. The theory was that skirt lengths get shorter in good economic times (1920s, 1960s) and longer in somber times (1930s depression, the 1970s).